

FIRST QUARTER MEETING APRIL 2019

WEDNESDAY | 17TH APRIL 2019
SFSP JIC 3 OFFICE, JEDDAH, KSA



UNITECH
For Building and Construction Materials



*The
Challenge
Of Change*

40 YEARS OF
EXCELLENCE



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480 Months of Hardwork
2,080 Productive Weeks
14,600 Energetic Days

PIONEERING CONSTRUCTION SINCE 1979

Today we are available in MENA
Region with **21 Unitech Branches**
& **04 Manufacturing Facility**

Est.
1979



THE BEGINNING

Unitech was established in the Western Region of KSA as a Sales Company selling Silicon Sealant.

During the same year, another branch was established in the heart of the kingdoms capital, Riyadh.

1979
to
1989



AGE OF GREAT RISK

Unitech Dammam was open for business in the oil-rich eastern coast of Saudi Arabia.

Within these 10 years the idea of in-house manufacturing facility was born and Specialized Factory for Steel Products was established in Riyadh.

1989
to
1999



AGE OF EXPANSION

Branches of Unitech were established in Makkah, Madina, Khamis Mushayt and Jubail.

The need to increase its range of products and the necessity to have production lines for mass production the SFSP factory was moved from Riyadh to Jeddah.

1999
to
2015



AGE OF CONSTR. BOOM

Qassim, Hofuf and Yanbu Branches were inaugurated in KSA and branches outside KSA were established in UAE, Egypt, Lebanon, Oman, Jordan and Germany in order to facilitate the construction boom in the Middle East. During this period SFSP state of the art facilities were launched in DIC UAE and Unitech thrived, marking some of the best years in business.

2015
to
2019



AGE OF GREAT CHANGE

This period, marked the age of great change in order to align with the economic shift in the GCC.

Company wide right sizing initiatives were taken especially in KSA to align with the kingdoms ambitious vision 2030 and it was during this period the SFSP state of the art facilities were launched in JIC 3 KSA.

2019
&
BEYOND



TARGETING EXCELLENCE WITH COMMITTED EFFORTS

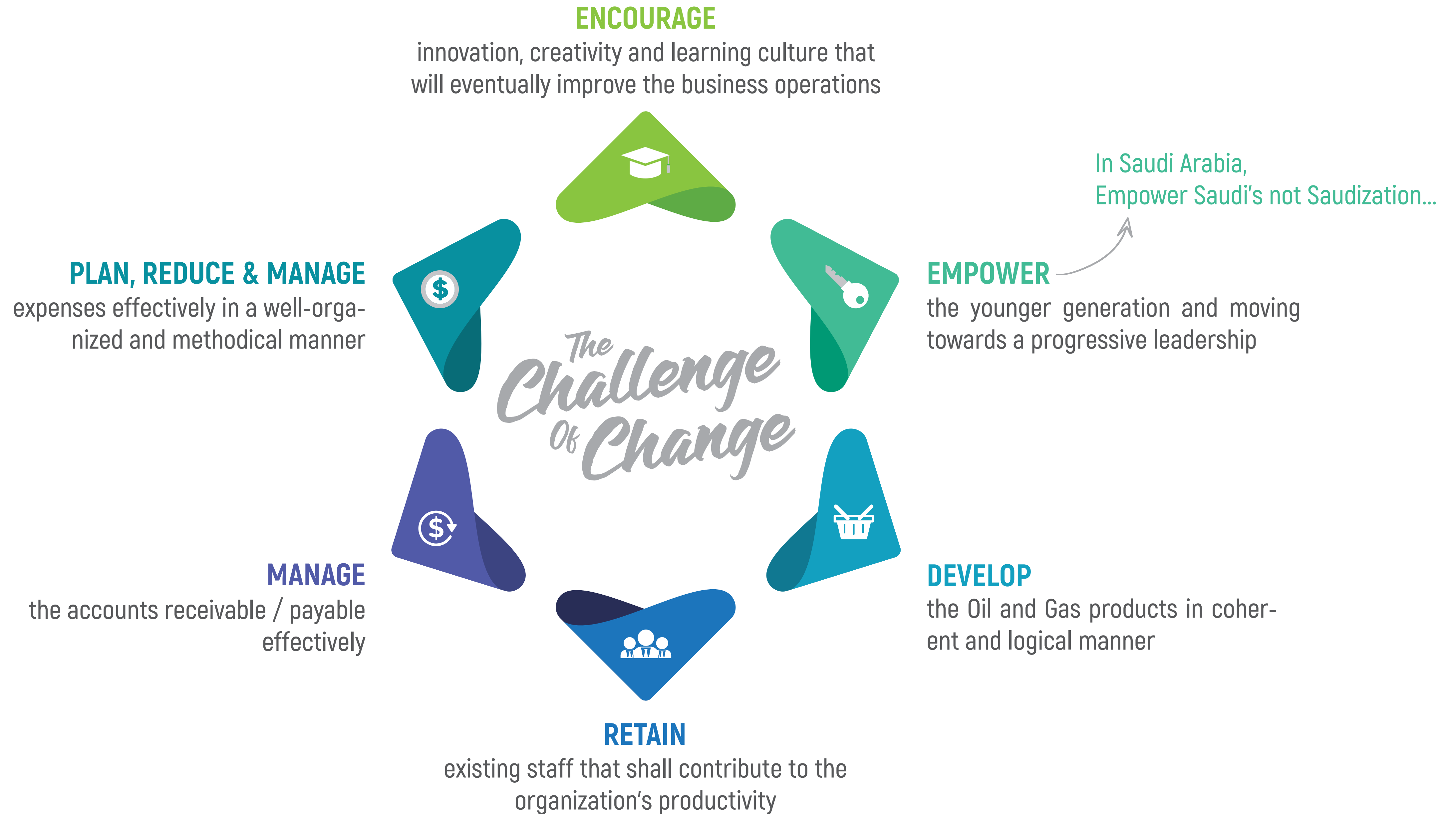
VISION 2019



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BUDGET VS. ACTUAL



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BUDGET vs. ACTUAL AS OF MAR 19

BRANCHES / COUNTRY	BUDGET			ACTUAL		
	SALES	GROSS	COLLECTIONS	SALES	GROSS	COLLECTIONS
UNITECH JEDDAH	18,000,000	4,590,000	19,750,000	16,533,440	3,991,141	17,214,464
UNITECH MAKKAH	6,550,000	1,637,500	5,500,000	6,206,597	1,406,815	4,796,752
UNITECH MADINA	3,500,000	875,000	3,250,000	3,467,798	860,452	2,334,962
UNITECH YANBU	2,750,000	687,500	3,250,000	2,350,796	519,084	2,417,904
UNITECH KHAMMIS	7,000,000	1,530,000	7,000,000	7,135,209	1,426,710	6,285,743
UNITECH GIZAN	5,675,000	1,250,000	5,500,000	4,555,690	1,206,520	4,899,394
UNITECH CENTRAL	27,500,000	6,875,000	27,500,000	23,701,453	5,810,587	27,393,411
UNITECH CENTRAL NORTH	6,500,000	1,625,000	7,500,000	7,041,630	1,389,624	6,235,498
UNITECH DAMMAM	13,500,000	3,240,000	12,500,000	14,239,366	3,251,719	11,671,647
UNITECH JUBAIL	6,000,000	1,457,568	8,000,000	4,789,605	1,121,325	3,967,205
UNITECH HOFUF	5,000,000	1,250,000	5,625,000	4,929,964	1,298,462	5,577,410
UNITECH KSA	101,975,000	25,017,568	105,375,000	94,951,547	22,282,438	92,794,389
UNITECH BAHRAIN	1,500,000	375,000	1,250,000	1,064,163	305,356	924,382
UNITECH KUWAIT	7,500,000	1,650,000	7,500,000	4,510,957	1,020,591	3,545,647
TOTAL UNITECH A	110,975,000	27,042,568	114,125,000	100,526,667	23,608,386	97,264,417

ACCOUNT RECEIVABLE MECHANISM

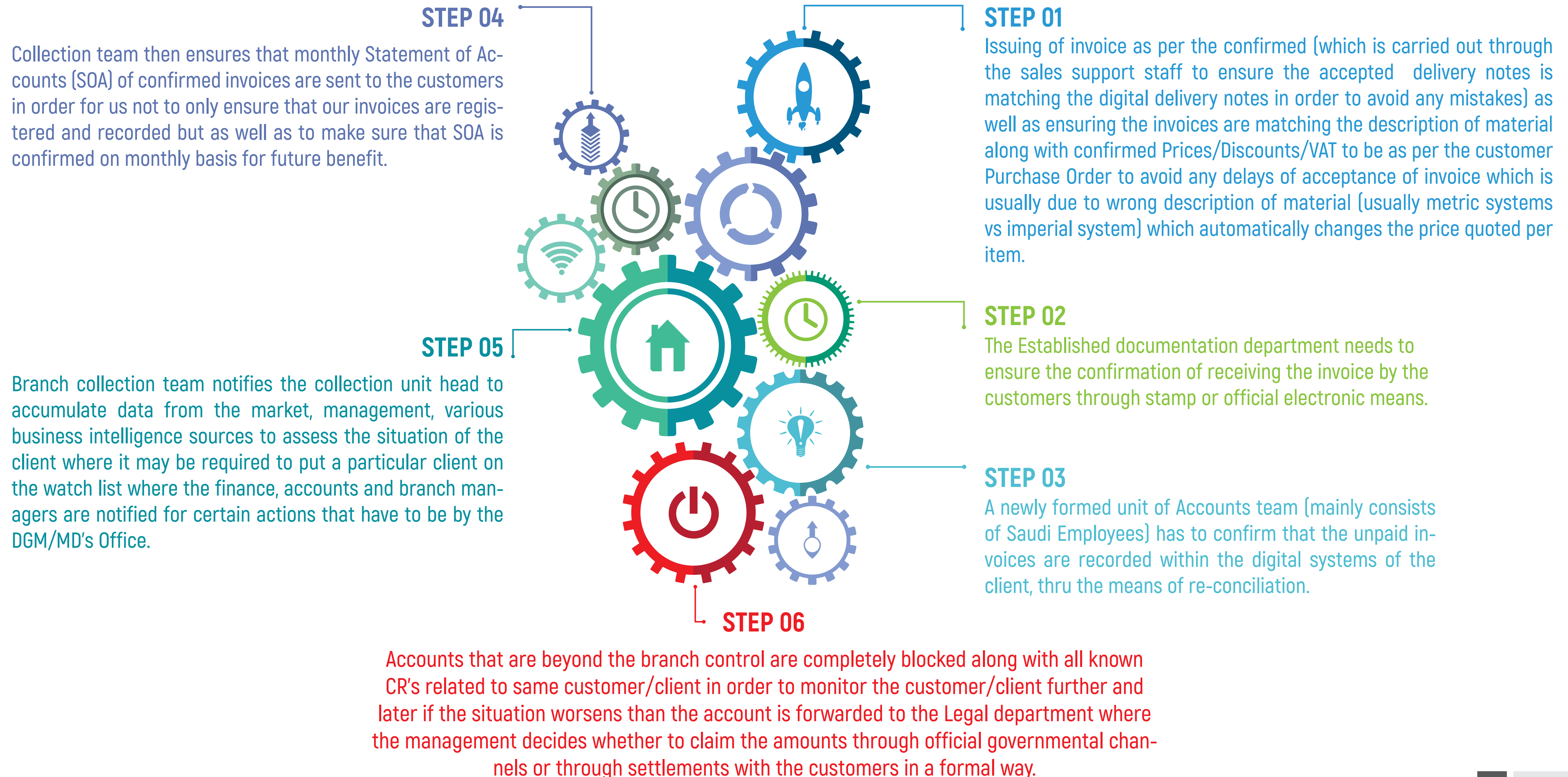


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THE PROCESS OF KEEPING WELL MAINTAINED ACCOUNTS RECEIVABLES IS BROKEN DOWN IN 6 STEPS



KEY ACCOUNT MANAGEMENT



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KEY ACCOUNTS MANAGEMENT



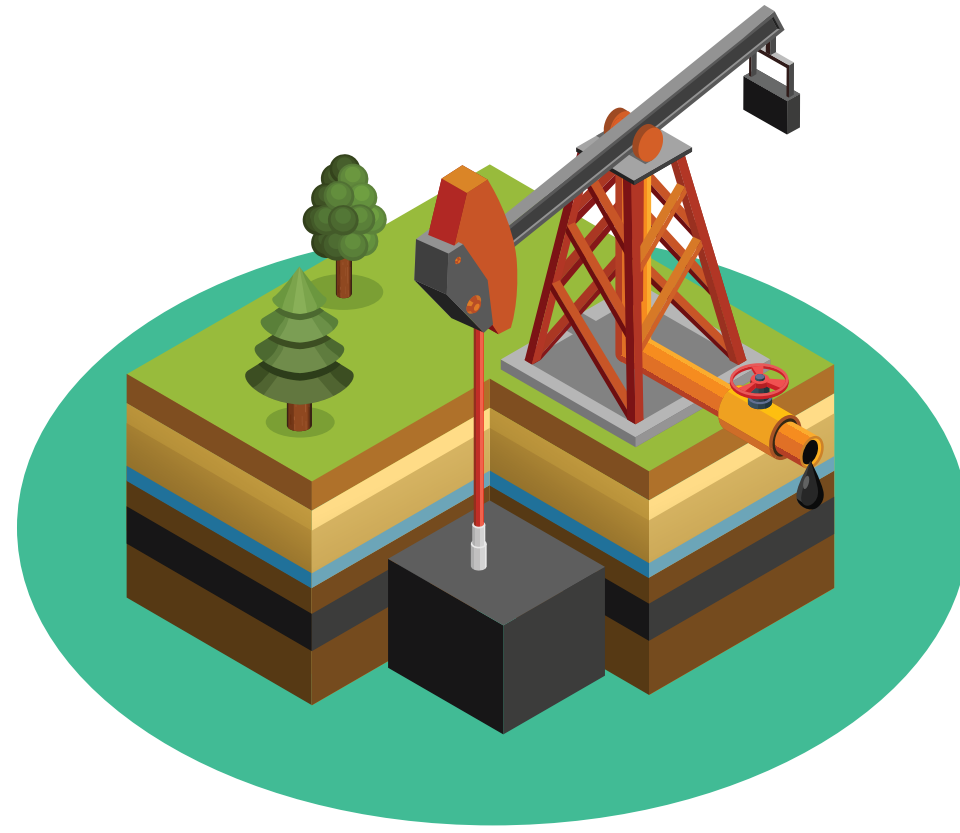
OIL & GAS SECTOR



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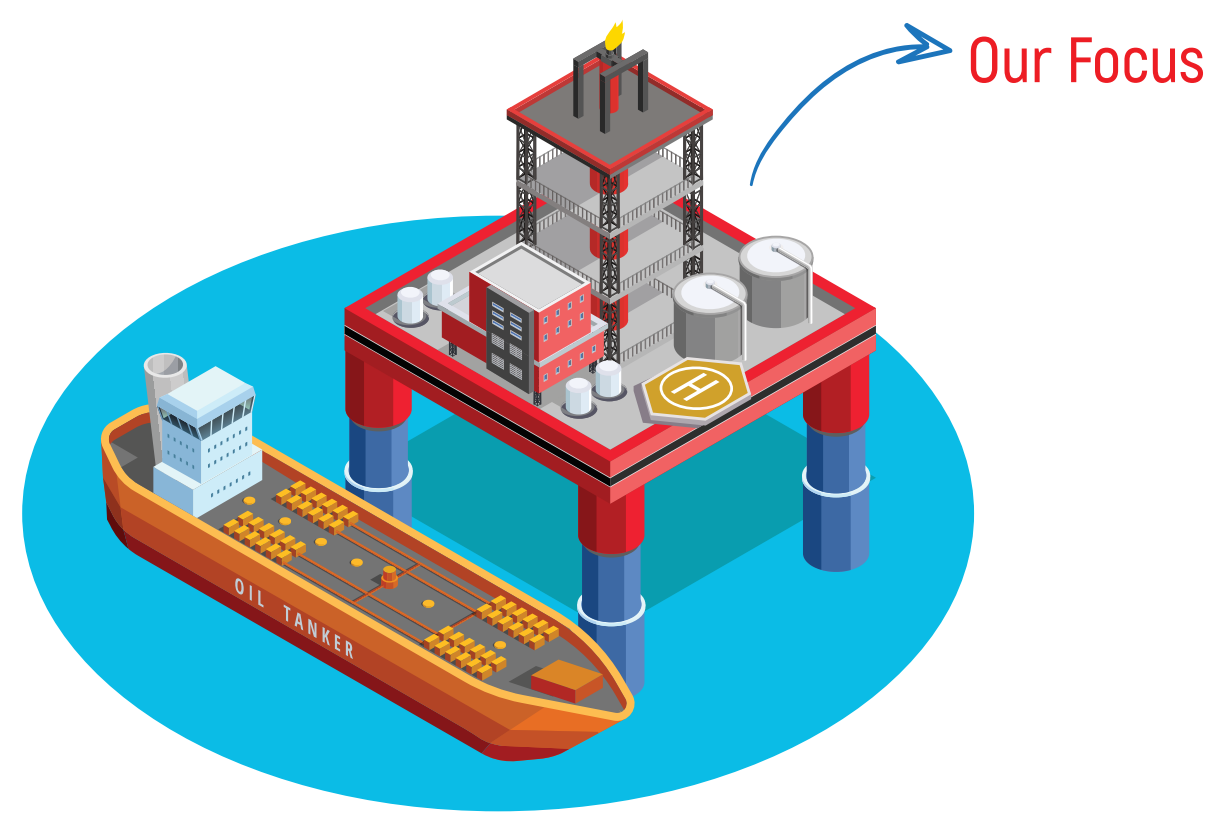
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UPSTREAM

Referred to as the E&P (exploration and production).



MIDSTREAM

Entails the transportation, storage and processing of oil and gas.



DOWNSTREAM

Filtering of the raw materials obtained during the upstream phase.

PRODUCTS FOR THIS SECTOR

While oil and gas is lucrative sector to target but it comes with its own complications where warranties and qualified product knowledge is required to move further hence this segment is divided in to two parts:

Non-Engineering Product Range

NORSOREX® APX
Non sparking tools – EgaMaster and Irwin
Pneumatic Machines – AEG/Milwaukee/SBD
Oil Spill Solutions – Spill Tackle / UntralTech
Protective Coatings – Sherwin Williams - UK

Engineering solutions – Long Lead products

PowderSorb
Vavles –DeVal - US
Instruments – Bosch Rexroth - GER
Electric motors – Brook Crompton UK
FRP Products (Produced in SFSP)

NEW PRODUCT INTRODUCTION

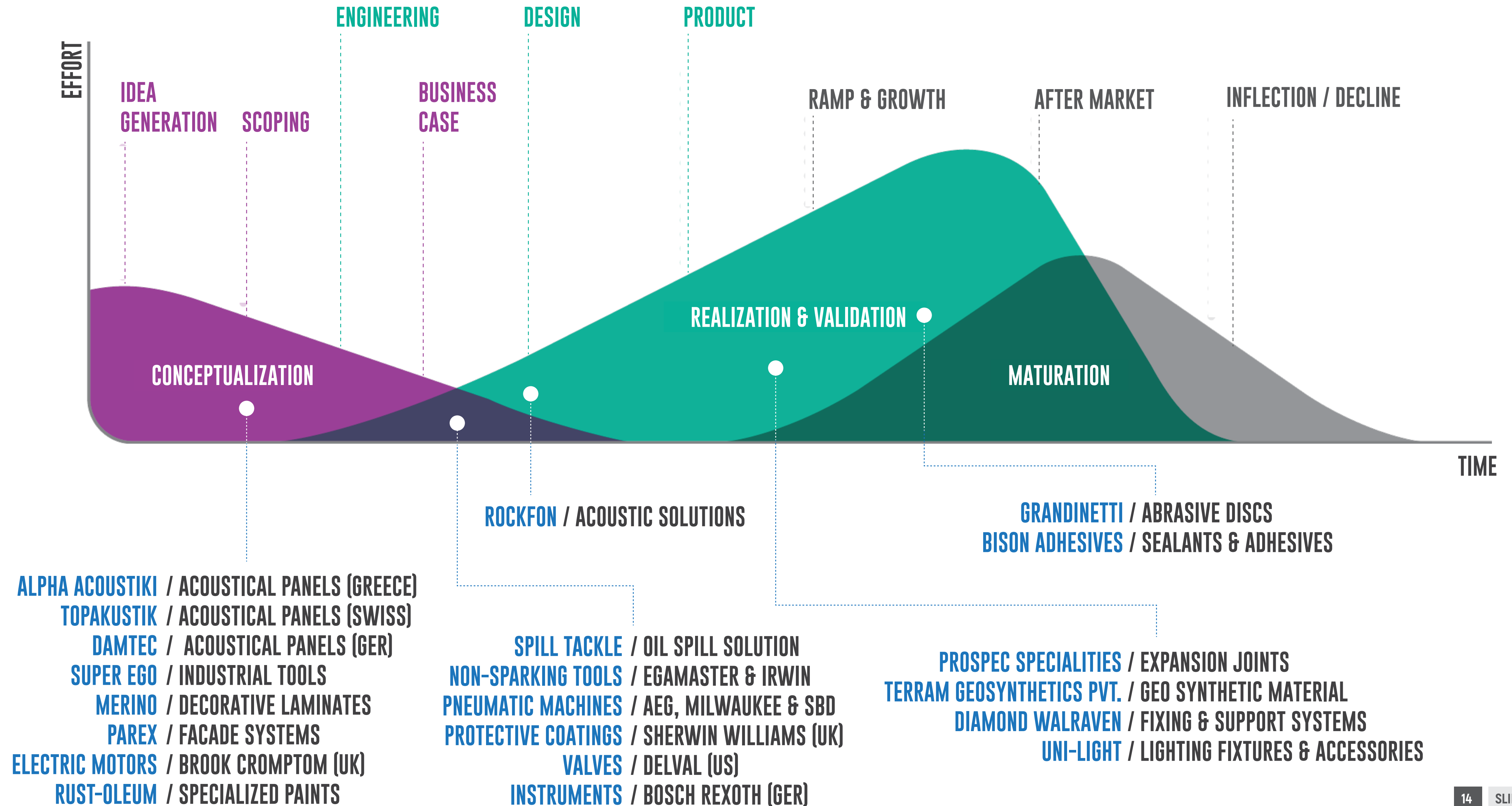


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NEW PRODUCT INTRODUCTION



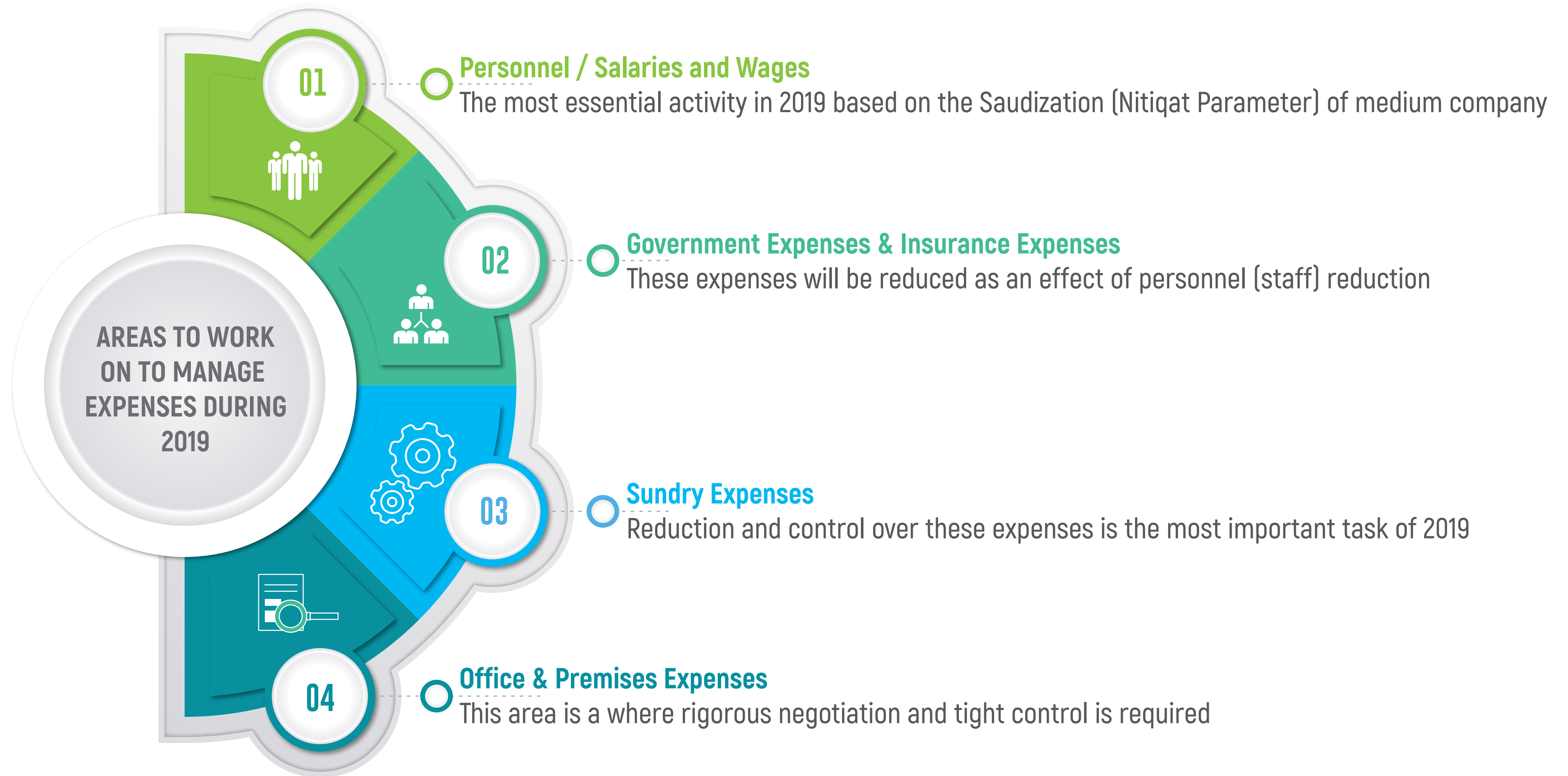
EXPENSE MANAGEMENT



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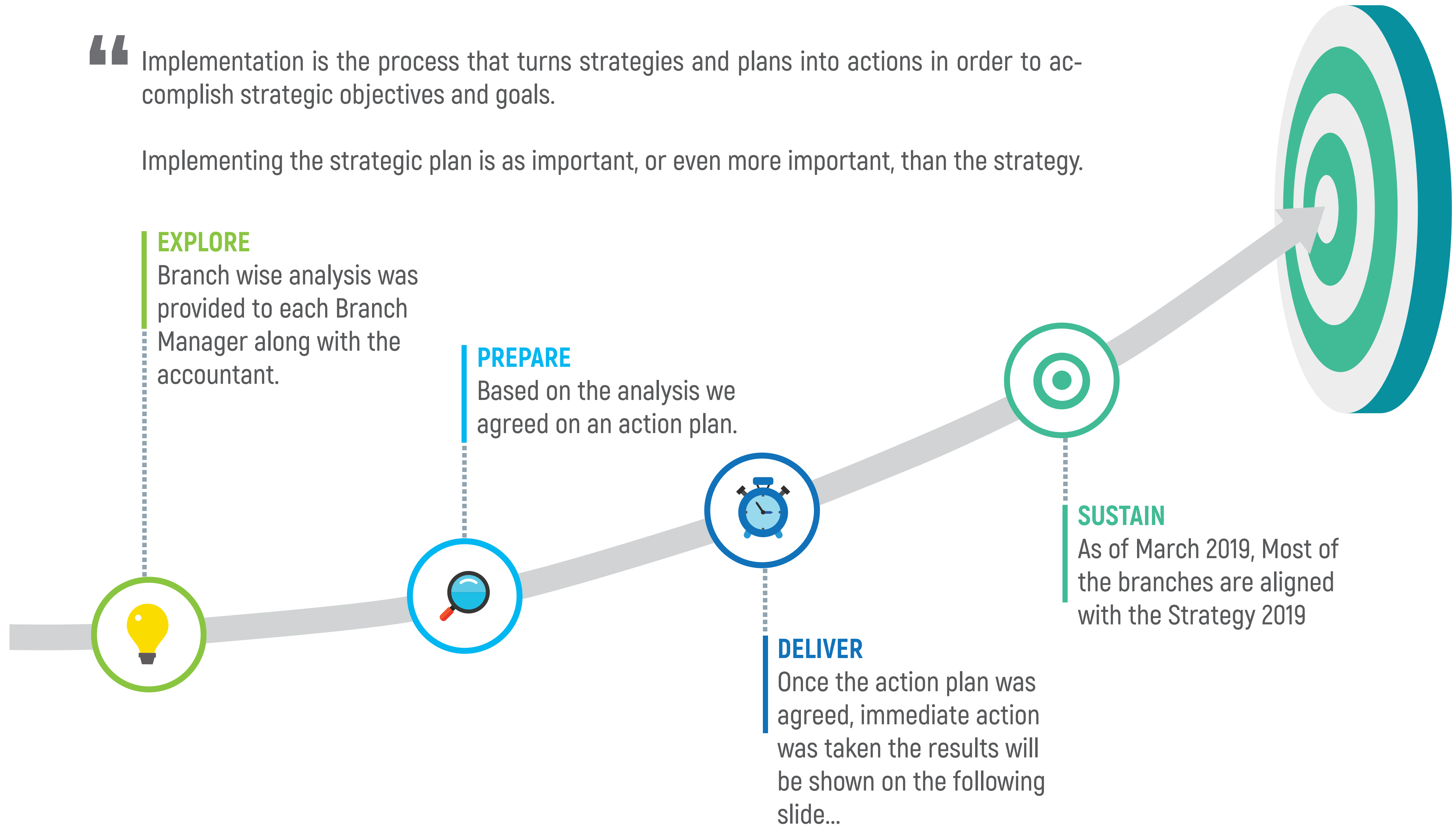
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“ Implementation is the process that turns strategies and plans into actions in order to accomplish strategic objectives and goals.

Implementing the strategic plan is as important, or even more important, than the strategy.



	Q1 2018	Q1 2019	DIFF.
OFFICE	0.54	0.65	20% ↑
PREMESIS EXPENSES	1.48	1.30	12% ↓
GOVERNMENT EXPENSES	1.49	1.24	17% ↓
INSURANCE EXPENSES	0.77	0.68	13% ↓
SUNDRY EXPENSES	1.98	1.24	37% ↓
PERSONNEL EXPENSES	13.3	11.9	11% ↓
TOTAL EXPENSES	19.6	17.0	13% ↓

**** THE ABOVE FIGURES ARE IN MILLION SAR.**

PREMESIS EXPENSES

Taking advantage of depressed prices to negotiate with the lessor for better lease terms. This practice worked out and some branches experienced a rent reduction of 25%.

Also, maximizing the warehouse space utilization by relocating the operation over there or closing in case of more than one. This action enable some branches to avoid paying the office rent and other related expenses like utilities bills.

RIGHT SIZING

This was done keeping the Saudization parameters in mind of a medium size company. The effects of this is reflecting in our saudization report, reduction in personnel expenses will reflect later this year

EXPENSE CONTROL ENVIRONMENT

Since the strategy 2019 was communicated by our MD, We made sure that every employee in Unitech is aware of the expense reduction goals. Some policies were established such as: traveling by car for distance within 3 hours.

Some Branch Managers are keeping track of expenses on a weekly basis. Close watch on expenses has become a habit with some branches.



SAUDIZATION AT A GLANCE



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2018

NO. OF EMPLOYEES: 514
NO. OF SAUDI EMPLOYEES: 168
NO. OF NON-SAUDI EMPLOYEES: 346
OTHERS: 11.44
PERCENTAGE: 32.91 (LOW GREEN)

2019 (AS OF MAR)

473
144
329
22.31
35.16 (MED GREEN)



2018

NO. OF EMPLOYEES: 12
NO. OF SAUDI EMPLOYEES: 02
NO. OF NON-SAUDI EMPLOYEES: 10
OTHERS: 0
PERCENTAGE: 9.75 (LOW GREEN)

2019 (AS OF MAR)

12
02
10
0
11.76 (LOW GREEN)



2018

NO. OF EMPLOYEES: 180
NO. OF SAUDI EMPLOYEES: 38
NO. OF NON-SAUDI EMPLOYEES: 142
OTHERS: 01
PERCENTAGE: 22.92 (MED. GREEN)

2019 (AS OF MAR)

165
32
133
1
23.16 (MED. GREEN)



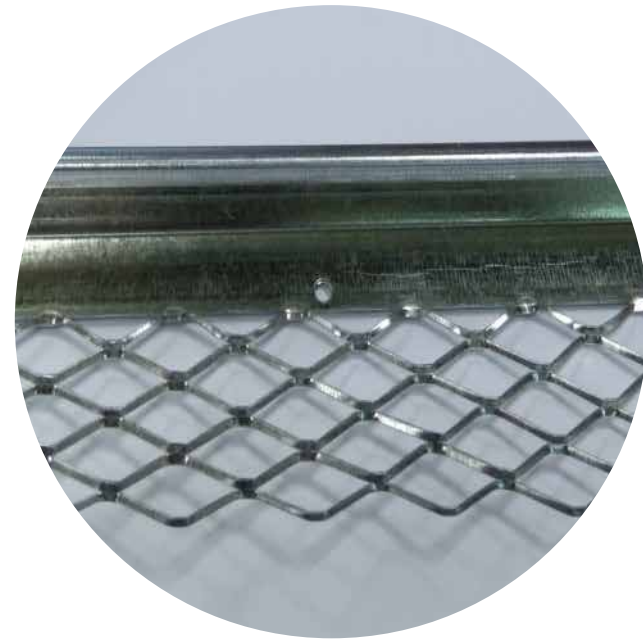
MANUFACTURING NEW ITEMS IN SFSP



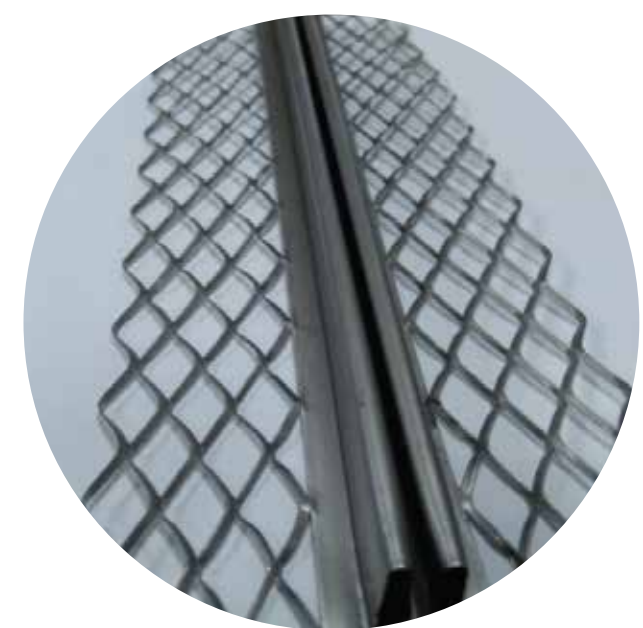
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PLASTER STOP LINE



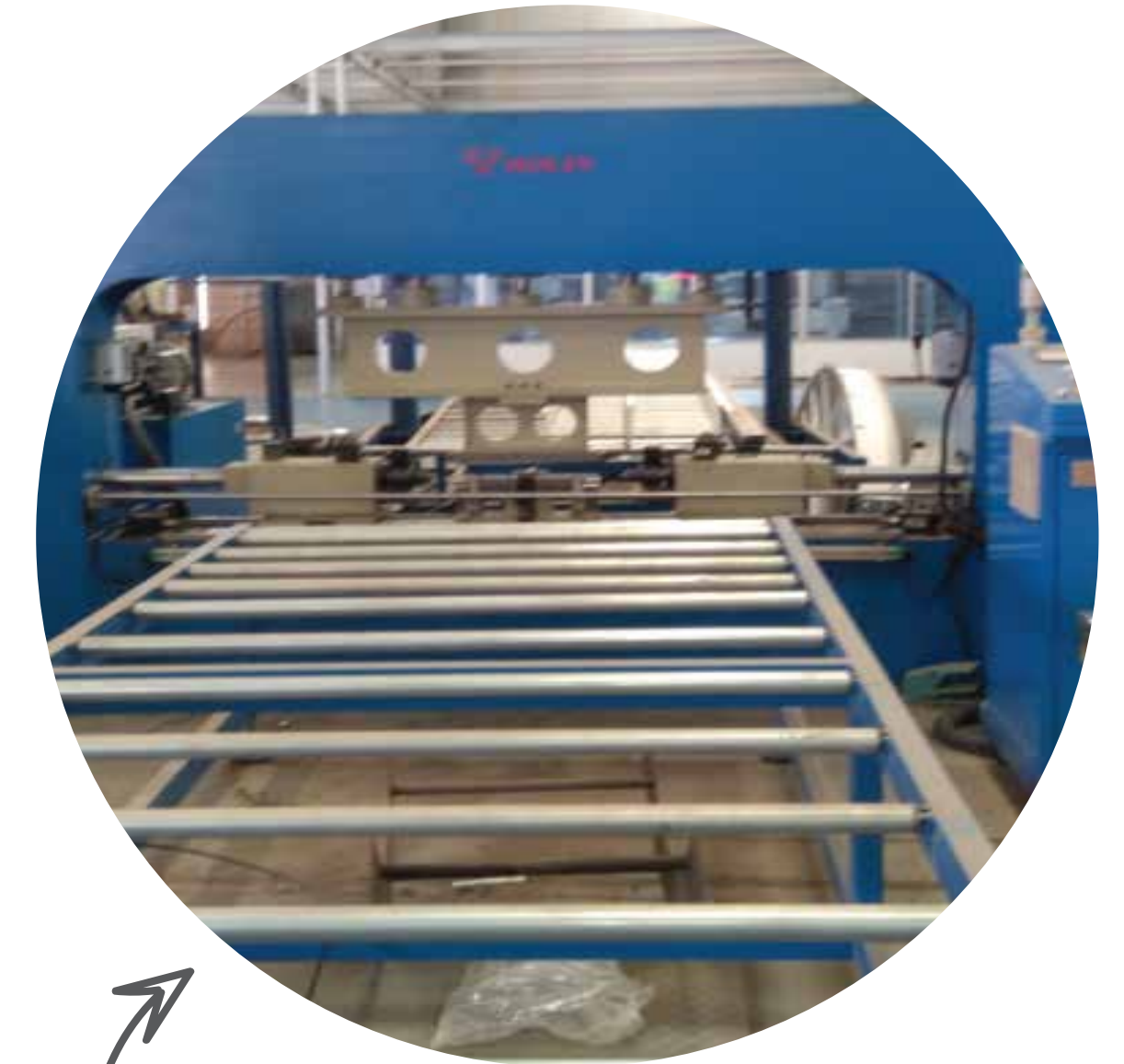
CONTROL JOINT

SFSP has new machines in operation for these items

SWAGED CABLE LADDER

The new machine for Swaged Ladder -Straight Lengths is under Installation.

This machine will enable SFSP to produce Swaged ladders up to 6 meters.



SWAGED CABLE LADDER ACCESSORIES

There is a new machine for its accessories mainly conforming to NEMA.



ROLL FORMING MACHINE

SFSP expects the arrival for a new roll forming line for Lintels

This machine will enable quick deliveries for related orders. The expected arrival time for the machine is around Oct 2019.

SFSP has already commenced Customer Galvanizing for Other Products.



HDG KETTLE

7 Meter Long
3.6 Meter Deep
1.5 Meters Width



COMMERCIAL GALVANIZING

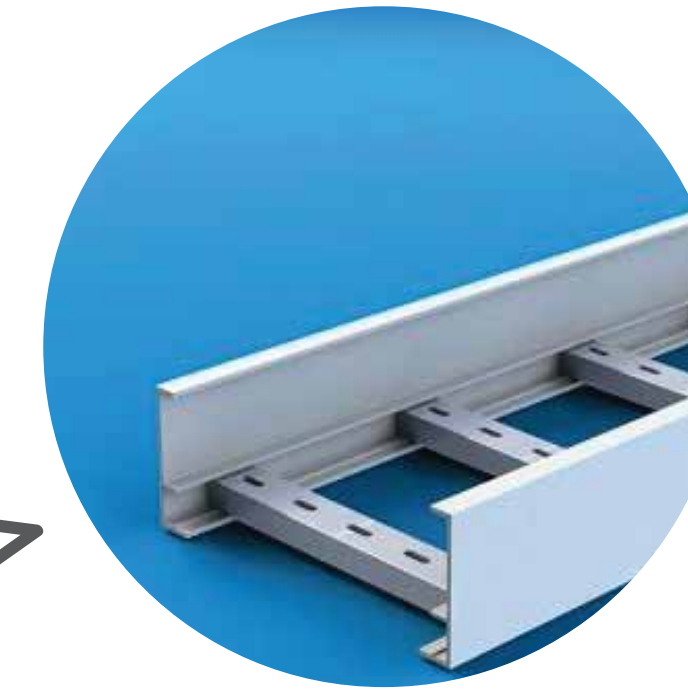
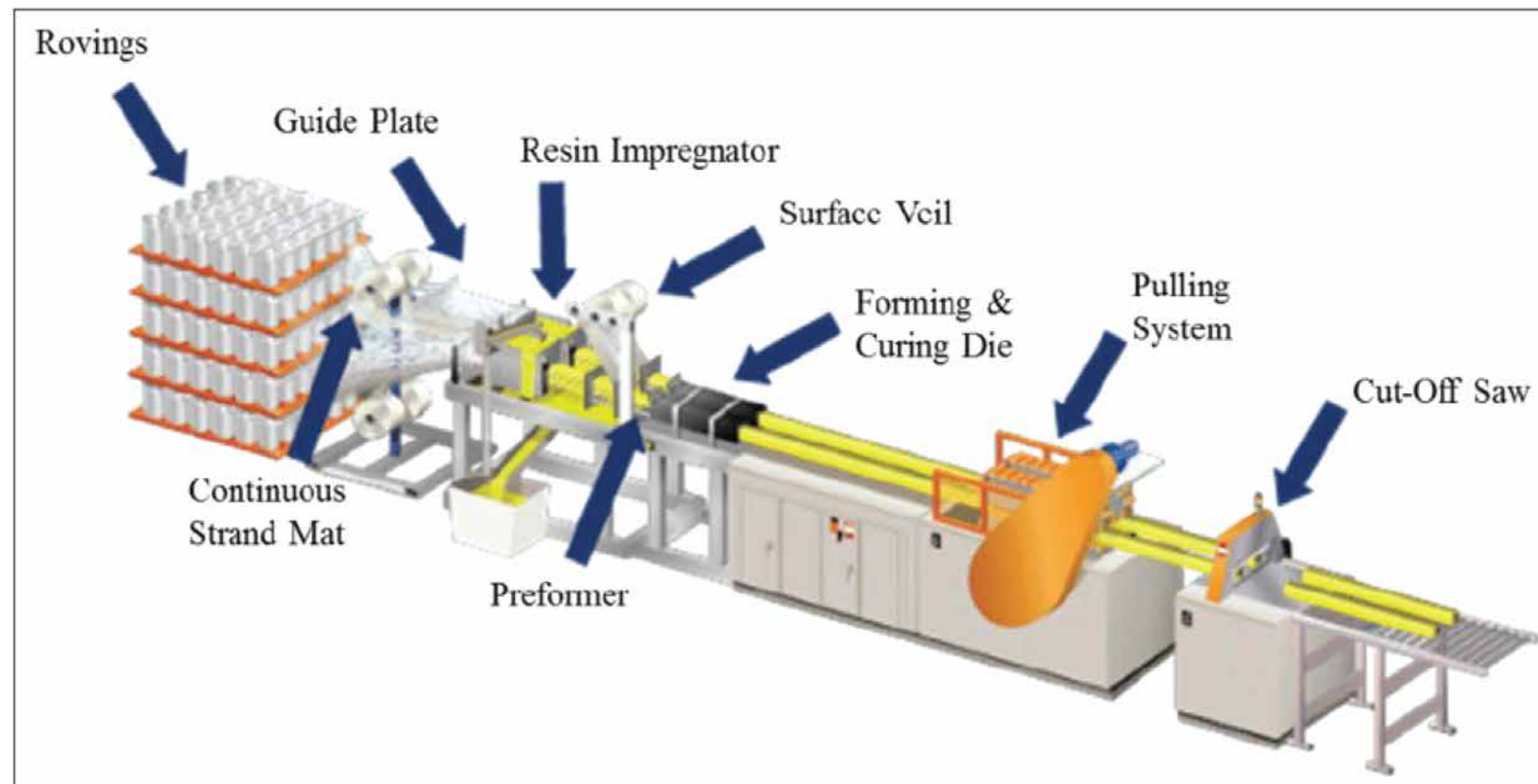
SFSP has the largest Capacity Kettle among all Cable Tray manufacturers.

This kettle with a Capacity of over 2000 Tons / Months is capable to meet additional market loads.

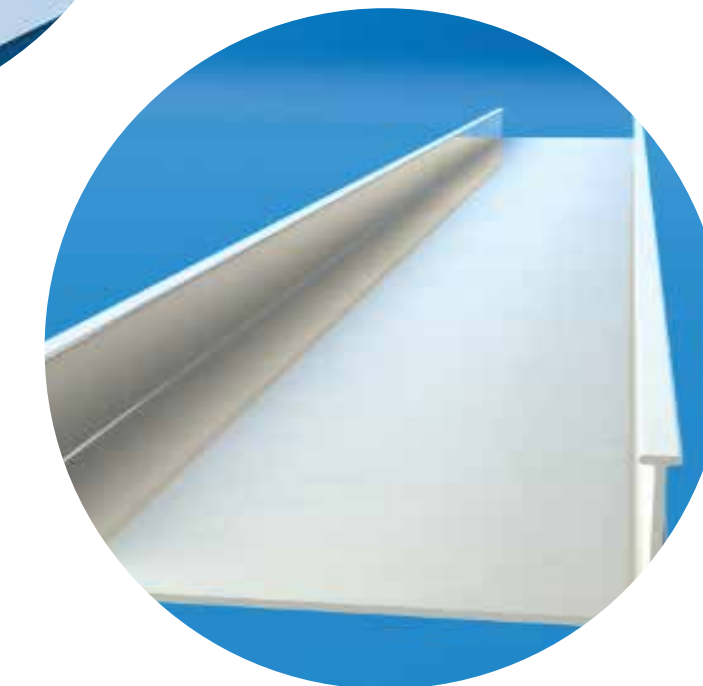
FRP PRODUCTS

SFSP looks forward to have the FRP products added to their basket.

To explain the basic process ,Fibers are pulled from a creel through a resin bath and then on through a heated die. The die completes the impregnation of the fiber, controls the resin content and cures the material into its final shape as it passes through the die. This cured profile is then automatically cut to length.



**CABLE TRAYS & LADDERS ACCESSORIES
CABLE TRUNKING ACCESSORIES
UNI STRUT CHANNELS**



FRP SUPPORT BRACKETS

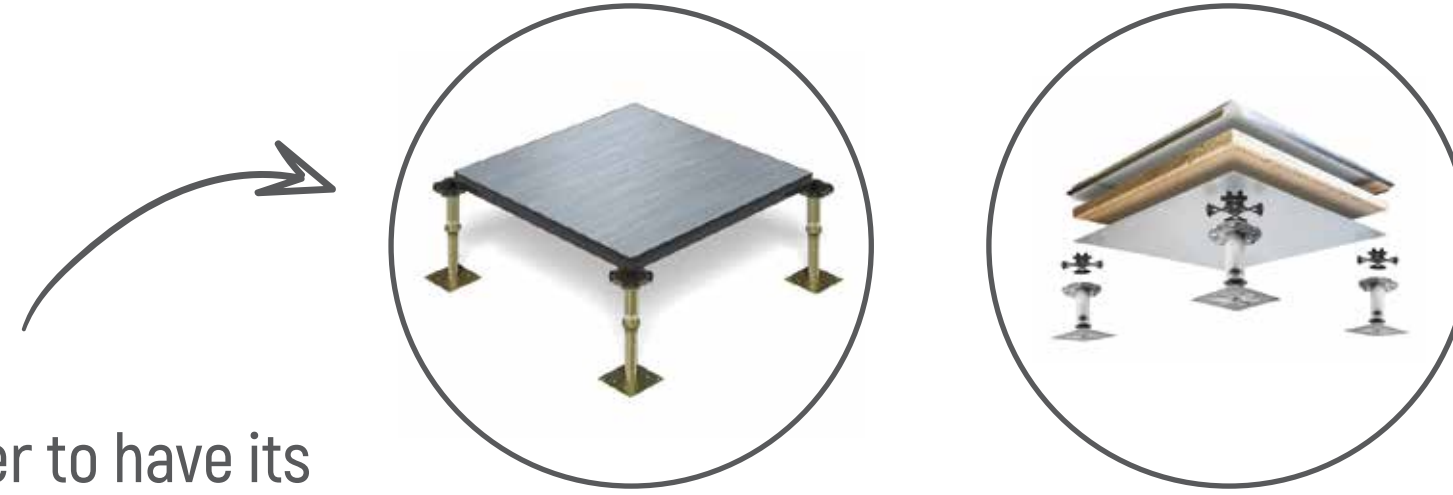


**FRP GRATING & PLATFORMS
FRP HANDRAILS & STAIR CASE
FRP LADDERS
FRP MANHOLE COVERS
FRP PIPES & FLANGES**



Raised Access Floor System

This product is under review in order to have its manufacturing / Assembly in SFSP.



Valves

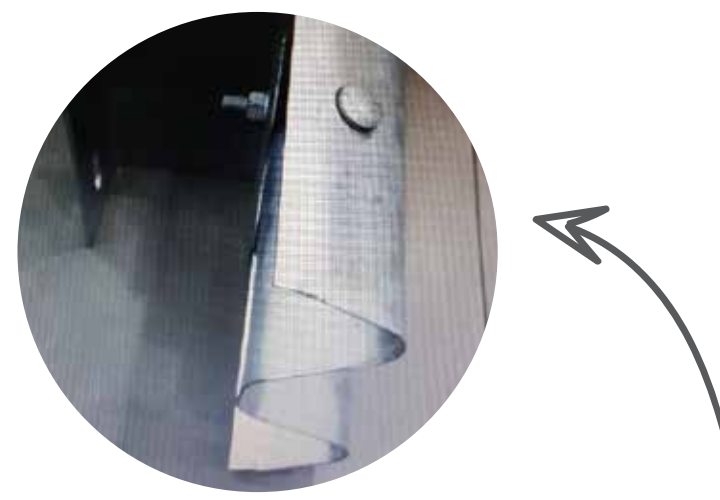
SFSP is evaluating this product in the following areas:

- A. Stoking of types of valves
- B. Hydrostatic testing of valves
- C. Repair & Servicing of valves



GuardRails

SFSP can arrange Guardrails as per relevant standards.



Clamps

SFSP can arrange Clamps with UL Certification.
A wide range of Sizes are available upon request.

Heavy Duty Anchor Bolts

This product can be arranged with regular specifications



THANK
YOU



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